'Operational terror financing' includes funds required for running a low-intensity campaign like the ISI-sponsored 'thousand cuts' strategy in Kashmir. More than tactical financing, it is operational financing that is well within the capability of state-sponsored terrorism. Equipping a few hundred terrorists with assault rifles, explosives, communication tools and blood money is well under a few score crores. In the case of inland terror groups like the Naxals, much of the funding is obtained through extortion from the local populace.

Damaging our economy by flooding counterfeit currency is the third strategic prong of Pakistan's plan, and, strictly speaking, while this is not a part of 'terror financing', (the correct nomenclature would be 'economic warfare') demonetization will disrupt it only for a brief period until the ISI replicates the new format of high denomination notes. Granted that the newer currency will be harder to replicate, but if Indian mints can make them, so can Pakistani.

Moving to a Digital and Less Cash India

There are several benefits of using less cash. The most worthwhile advantages are those that benefit consumers, especially the very poor.

I began to understand this when dealing with street children, whom our bank's foundation supported. In a candid conversation, I asked a bright 11-year-old urchin why he did not save some of the alms he collected each day for a rainy day. He laughed at my naïveté. 'Where will I keep the money?' he asked. 'If I have any money at the end of the day, it will get stolen, and I will get beaten up in addition. Much better to spend it all on a good meal.'

Women beneficiaries of our microfinance programme in villages across the country shared similar feedback. The micro businesses that they set up generated small surpluses over and above the amounts needed for the weekly repayment of their loans. But it was impossible to save this. Cash in hand was quickly spent – at worst confiscated by an abusive or drunk husband and at best used up for domestic exigencies. Going all the way to the nearest bank or post office branch to deposit a few rupees was not practical.

From a banker's point of view, I was familiar with the costs and security implications of dealing with large amounts of cash at our branches. The problems were magnified manifold for banks with currency chests. And, of course, for the RBI both costs (including the